

sloping trend supported the minor lows. The entire pattern saw price moving higher but forming a needle or wedge shape. The receding volume trend bolstered the case that the pattern was indeed a rising wedge.

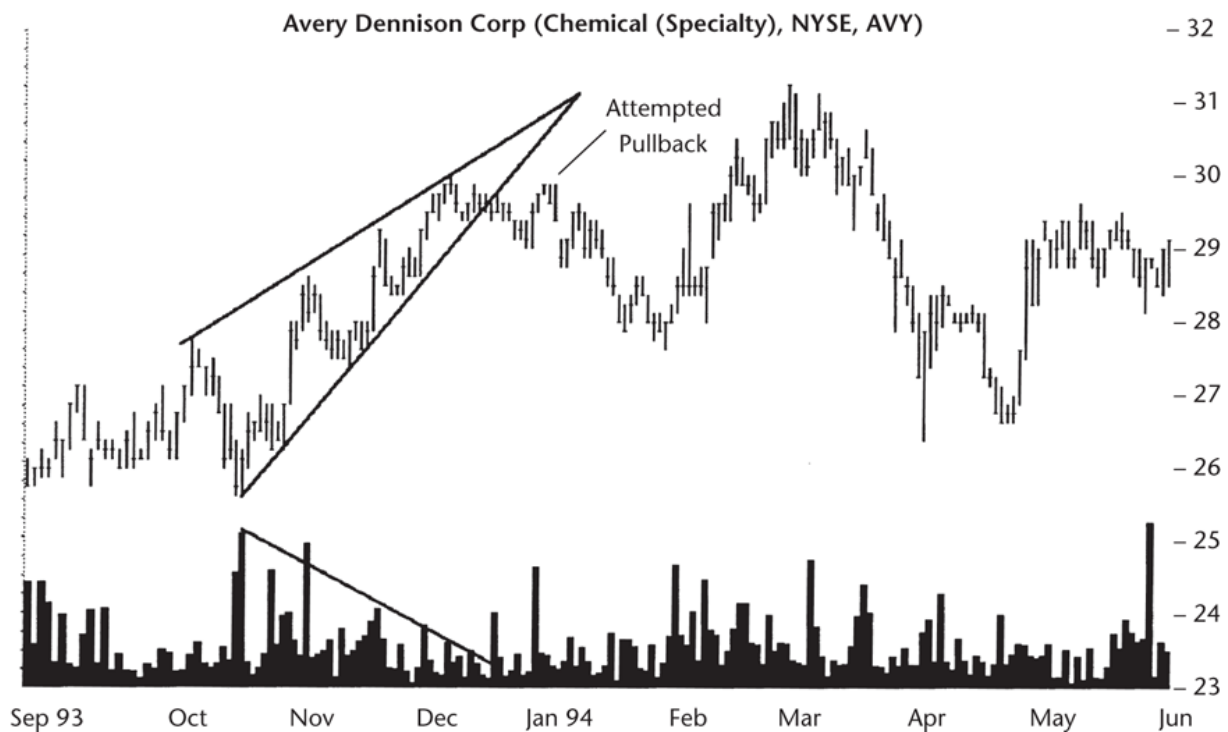


Figure 74.1 A rising wedge with two up-sloping trendlines. The volume trend usually slopes downward.

During mid-December, price did not break down out of the wedge so much as just meander lower. There was high volume on December 16, which probably marked the actual breakout, but it only lasted 1 day.

Price attempted a pullback to the lower wedge trendline but did not quite make it. Price moved lower, recovered to post a new high, and then withdrew to make another minor low during April before zipping higher.

Notice how price crossed the pattern from top to bottom several times, and how the pattern raises a wall of worry as price climbs, getting narrower and narrower until it's forced to break out in one direction or the other.

Identification Guidelines

Rising and falling wedges are among the most difficult chart patterns to find. However, there are some guidelines that can make identification